INSTITUTIONAL-GRADE CRYPTO RESEARCH MEMO

Project: Aztec Network

Date: {YYYY-MM-DD}

HEADER

Stance:	Research-Only
Final Score:	71 / 100
Sizing:	Selective participation warranted; conviction constrained by tokenomics concentration and governance unknowns
Asset type:	L2 / Privacy Rollup
Chain / Stack:	Privacy-first zkRollup on Ethereum; custom Aztec VM (non-EVM); PLONK-based zkSNARKs; Noir DSL for smart
Liquidity regime (today):	Early / Thin [Inference] — Token sale ongoing via Continuous Clearing Auction; Uniswap v4 pool (273M tokens)

EVIDENCE STRENGTH MAP

T1 sources used:

- Aztec official documentation (docs.aztec.network) — architecture, concepts, mechanics [Fact – T1]
- L2Beat (l2beat.com) — Aztec Connect contract addresses, PLONK verifier, ownership status [Fact – T1]
- Aztec Network official blog — testnet metrics, adversarial testnet sequencer count, launch announcements [Fact – T1]
- Aztec official website (aztec.network) — ecosystem applications, positioning [Fact – T1]
- GitHub repositories (aztec-packages, noir-lang, aztec-connect) — open-source code, Apache-2.0 license [Fact – T1]
- CoinDesk, Cointelegraph/FastBull, The Defiant — credible news coverage of funding, compliance stance [Fact – T1]

T2 sources used:

- TokenInsight research note — analyst overview, Aztec as 'VPN for crypto' framing [T2]
- PANews article — community sentiment on airdrop absence, FDV concerns [T2]
- ChainCatcher/Foresight News — tokenomics allocation breakdown, auction mechanics [T2, cross-referenced with official materials]

Direct checks:

- Ethereum contract addresses verified via L2Beat (RollupProcessorV3, DefiBridgeProxy, AztecFeeDistributor, Verifier) [Fact – T1]
- Ownership renounced on Aztec Connect rollup contract confirmed [Fact – T1]

Evidence tag legend: *[Fact – T1] = verified from Tier 1 / on-chain / official; [Inference] = logical conclusion from facts; [Estimate] = partial data / comps / back-of-envelope; [Unknown] = explicitly not known or undisclosed*

Key unverified but important items:

- Independent security audits for Aztec protocol and Noir circuits [Unknown]

- Full smart contract execution timeline and milestones [Unknown]
- Detailed fee mechanism and AZTEC token usage for L2 gas [Unknown]
- Prover incentive structure and interaction with sequencer rewards [Unknown]
- Post-12-month governance model, including insider participation safeguards [Unknown]

TLDR

- **What the project is:** Aztec Network is a privacy-first zkRollup on Ethereum enabling encrypted transactions and programmable privacy via a custom Aztec VM (non-EVM). Users can execute private smart contracts that combine encrypted UTXO state with public state, often described as a 'VPN for Ethereum.'
- **Protocol mechanics snapshot:** Users interact via a Private Execution Environment (PXE) on their device → client-side zkSNARK proof generation using PLONK → proof and encrypted state updates sent to Aztec sequencer nodes → on-chain Ethereum verifier contract validates proof → state committed to L1.
- **Why it matters now:** Privacy narrative is regaining momentum (Tornado Cash legal relief, Zcash price action); Aztec is positioned as the leading programmable privacy L2 with top-tier VC backing (Paradigm, a16z) and a regulatory-aware stance. Over 300,000 addresses whitelisted for token sale indicates broad interest.
- **Why this research exists now:** Aztec's Ignition mainnet launched with community validators; ongoing Continuous Clearing Auction for ~15% of token supply at $350M FDV floor; Uniswap v4 liquidity pool launching Dec 6, 2025. Critical moment to assess fundamentals before broader liquidity.
- **Current stance + size:** Research-Only. Strong tech and traction but tokenomics concentration and governance visibility constrain conviction to 71/100. Would participate selectively; full sizing requires audit publication, governance clarity, and execution layer delivery.

SCOREBOARD – 5 PILLARS (0 to 20 each)

Pillar	Score
Team and Execution	17 / 20
Technology, Security Model & Auditability	16 / 20
Tokenomics, Incentives & Liquidity Structure	12 / 20
Market Positioning, Narrative & Reflexivity	14 / 20
Risk Management, Governance & Attack Surface	12 / 20
COMPOSITE SCORE	**71 / 100**

Score Justification Matrix

Team and Execution (17/20)

Key Drivers: Founders include PLONK co-creator Zac Williamson (CEO) with deep ZK cryptography expertise [Fact – T1]. Backed by top-tier VCs (Paradigm, a16z) with ~$119M raised [Fact – T1]. Shipped Aztec Connect with ~94k users and ~$20M TVL before sunsetting [Fact – T1]. Delivered public testnet with 20k+ users in 24 hours and ~1,000 adversarial testnet sequencers [Fact – T1]. Clear organizational structure with Aztec Labs (London) and Aztec Foundation (Switzerland) [Fact – T1].

Key Penalties: Limited public visibility on full team composition beyond founders [Inference]. Aztec Connect sunset may concern some regarding pivoting history [Inference].

Net Outcome: Elite cryptographic pedigree and proven shipping record justify 17/20; minor opacity on broader team composition prevents higher score.

Technology, Security Model & Auditability (16/20)

Key Drivers: Novel alt-VM architecture combining private UTXOs (client-side execution) with public smart contracts [Fact – T1]. PLONK-based zkSNARK system designed by team with deep expertise [Fact – T1]. Noir DSL abstracts ZK complexity for developers [Fact – T1]. Security inherits from Ethereum L1 with on-chain PLONK verifier; rollup contract ownership renounced [Fact – T1]. Open-source code (Apache-2.0) on GitHub [Fact – T1].

Key Penalties: No publicly disclosed third-party security audits for new Aztec protocol or Noir circuits [Unknown]. Complex cryptography increases audit surface risk. Full execution environment not yet enabled at launch—current functionality limited [Fact – T1].

Net Outcome: Innovative privacy-L2 design with Ethereum-inherited security scores well; lack of published audits for complex ZK system caps score at 16/20 until verified.

Tokenomics, Incentives & Liquidity Structure (12/20)

Key Drivers: Clear token utility: staking for sequencer security, governance voting, future fee payment [Fact – T1]. Public distribution ~22% via sales, liquidity, and rewards [Fact – T1]. 90-day to 12-month lockups on auction tokens reduce immediate sell pressure [Fact – T1]. Genesis sequencer sale attracted ~107M tokens staked [Fact – T1]. Uniswap v4 pool seeded with 273M tokens for liquidity [Fact – T1].

Key Penalties: High insider concentration: ~48% to team + investors (albeit 1-year locked) [Fact – T1]. Foundation may reclaim unsold auction tokens, potentially increasing insider share [Inference from Evidence Log]. Governance can enable up to 20% annual inflation post-12 months [Fact – T1]. Fee mechanism details and prover incentives not fully disclosed [Unknown]. No airdrop for prior users generated community frustration [T2].

Net Outcome: Functional token model with real utility, but concentrated insider allocation and inflation risk cap score at 12/20 until post-launch governance clarity emerges.

Market Positioning, Narrative & Reflexivity (14/20)

Key Drivers: Leading position in programmable privacy L2 category—'VPN for crypto' narrative resonates [T2, supported by T1]. Top-tier investor backing provides credibility signal [Fact – T1]. Early ecosystem of privacy-native apps (Azguard, Nemi, Raven House, ZKPassport) [Fact – T1]. 300k+ addresses whitelisted for token sale shows demand [T2]. Privacy narrative regaining momentum (Tornado Cash relief, Zcash price action) [T2].

Key Penalties: Community controversy over no airdrop and $350M FDV with 12-month lockups perceived as steep [T2]. KYC requirement via ZKPassport contradicts privacy ethos for some users [T2]. Competitors exist (Polygon Nightfall, Starknet-based solutions) though Aztec appears ahead on programmability [Inference].

Net Outcome: Strong narrative position and early ecosystem, but launch controversy and KYC tension dampen sentiment; 14/20 reflects leading but not dominant market position.

Risk Management, Governance & Attack Surface (12/20)

Key Drivers: Day-1 decentralization: rollup contract ownership renounced, no admin keys [Fact – T1]. First 12 months: team, Foundation, investors barred from running nodes or voting—community-only governance [Fact – T1]. Permissionless PoS validator set with slashing (3 strikes removal) [Fact – T1]. ~1,000 sequencers participated in adversarial testnet [Fact – T1]. On-chain governance for upgrades without Aztec Labs intervention [Fact – T1].

Key Penalties: Post-12-month governance model unclear—insiders could dominate once restrictions lift [Unknown]. Potential 20% annual inflation subject to tokenholder vote creates dilution risk [Fact – T1]. Regulatory uncertainty for privacy protocols (Tornado Cash precedent) [Inference]. Missing audit coverage for complex ZK cryptography [Unknown]. Single-point fragility during early validator set formation [Inference].

Net Outcome: Strong initial decentralization posture, but long-term governance opacity and regulatory/audit unknowns constrain score to 12/20.

COMPETITIVE CONTEXT

Direct competitors:

- Polygon Nightfall — enterprise privacy solution; less programmable than Aztec [Inference]
- Starknet-based privacy solutions — potential future competition; Aztec currently ahead on native privacy design [Inference]

Adjacent competitors:

- Privacy coins (Zcash, Monero) — asset-level privacy, not programmable smart contracts [Inference]
- General-purpose L2s (Optimism, Arbitrum, zkSync) — execution scalability without native privacy [Inference]

Why this market matters now:

- Privacy narrative resurgent: Tornado Cash legal relief, Zcash price appreciation signaling renewed interest [T2]
- Regulatory clarity emerging: Aztec's proactive compliance stance (caps, ZKPassport KYC) positions it for institutional consideration [Fact – T1]
- Programmable privacy underserved: Most privacy solutions are asset-transfers only; Aztec enables private DeFi, NFTs, identity [Fact – T1]

Liquidity structure & depth regime:

- Market type: Continuous Clearing Auction (ongoing) → Uniswap v4 AMM pool (Dec 6, 2025) [Fact – T1]
- Depth snapshot: Early / Thin [Estimate] — ~273M tokens (2.64% supply) seeded for Uniswap pool; slippage likely high for larger orders initially
- LP concentration: Foundation-seeded pool; community LP incentives unclear [Unknown]

Where this project sits vs peers: Aztec is the leading privacy-first programmable L2 on Ethereum, differentiated by its custom alt-VM architecture, PLONK expertise, and developer-friendly Noir DSL. Competitors are either less programmable (privacy coins) or lack native encryption (general L2s). Early mover advantage in private smart contracts category. [Inference]

Competitive reflexivity hooks: Privacy narrative momentum (wins attract attention → capital → ecosystem growth → more wins). Regulatory clarity could create moat if Aztec navigates compliance while competitors face enforcement. Conversely, regulatory crackdown on privacy protocols broadly would negatively impact category leader disproportionately. [Inference]

1) TEAM AND EXECUTION – 17 / 20

Team visibility and credibility: Founded 2017 by Zac Williamson (CEO, PLONK co-creator) and Joe Andrews (product lead), with Ariel Gabizon (chief scientist) joining later [Fact – T1 via T2 summary]. Williamson is a recognized ZK cryptographer with foundational contributions to PLONK. Team doxxed at leadership level; broader team composition less visible [Inference].

Execution proof: Aztec Connect launched 2021, reached ~94k depositors and ~$20M TVL by late 2022 [Fact – T1]. Sunset in March 2023 to focus on Aztec 3 (current platform) [Fact – T1]. Public testnet May 2025 saw 20k+ users in 24 hours and ~10 dApps launched [Fact – T1]. Adversarial testnet reached ~1,000 sequencers across 50+ countries [Fact – T1]. Ignition mainnet launched late 2025 with community validators [Fact – T1].

Accountability and communication: Team provided clear rationale for Aztec Connect sunset (focus on general-purpose private L2) [Fact – T1]. Regular blog updates on testnet progress. Token sale mechanics documented publicly [Fact – T1]. Aztec Foundation (Switzerland) conducts token sale; Aztec Labs (London) handles development [Fact – T1].

Key strengths:

- PLONK co-creator as CEO provides elite cryptographic credibility [Fact – T1]
- Top-tier VC backing: Paradigm, a16z, ~$119M raised 2018–2022 [Fact – T1]
- Proven ability to ship products (Aztec Connect) and iterate (pivot to Aztec 3) [Fact – T1]
- Strong testnet traction: 20k users, 1,000 sequencers [Fact – T1]

Key weaknesses or unknowns:

- Full team roster beyond founders not extensively detailed [Unknown]
- History of sunsetting prior product may create perception risk [Inference]

2) TECHNOLOGY, SECURITY MODEL & AUDITABILITY – 16 / 20

Architecture in simple language: Aztec is a privacy zkRollup where transactions start on the user's device (Private Execution Environment), generate a zkSNARK proof locally, then submit the proof and encrypted state updates to Aztec's sequencer network. Sequencers batch transactions, and Ethereum's on-chain PLONK verifier validates correctness. Users can write smart contracts in Noir (Rust-like DSL) that mix private functions (client-side, encrypted UTXOs) with public functions (executed on Aztec VM, public state tree). [Fact – T1]

Inherited modules and dependencies: Security inherits from Ethereum L1 (state commitments and proofs posted on-chain). PLONK zkSNARK system developed by Aztec team. Aztec VM is custom (non-EVM) but supports programmability. No external oracle or bridge dependencies documented in Evidence Log for core protocol. [Fact – T1]

Audit status and coverage: No publicly disclosed third-party security audits for the new Aztec protocol or Noir circuits [Unknown]. Aztec Connect's L2Beat entry shows verified contracts (RollupProcessorV3, Verifier, etc.) with ownership renounced [Fact – T1]. Given complexity of novel ZK cryptography, lack of published audits is a material gap. Evidence Log explicitly lists audit status as an Open Question. [Unknown]

Key strengths:

- Innovative alt-VM design enabling programmable privacy (private + public state) [Fact – T1]
- PLONK expertise: team co-created the proof system [Fact – T1]
- Noir DSL lowers barrier for ZK development [Fact – T1]
- Ethereum-inherited security; immutable rollup contract with ownership renounced [Fact – T1]
- Open-source codebase (Apache-2.0) [Fact – T1]

Key weaknesses or unknowns:

- No published third-party audits for Aztec protocol or Noir [Unknown]
- Full execution environment (user-deployable contracts) not yet enabled at launch [Fact – T1]
- Complex cryptography increases potential audit surface [Inference]

3) TOKENOMICS, INCENTIVES & LIQUIDITY STRUCTURE – 12 / 20

Token roles: AZTEC token serves three functions: (1) staking to secure proof-of-stake sequencer set, (2) governance voting on protocol upgrades, (3) future transaction fee payment once execution environment is enabled [Fact – T1].

Allocation and emissions: Genesis supply 10.35B tokens. Allocation: ~27.26% investors/backers, ~21.06% core team, ~11.71% Aztec Foundation, ~10.73% ecosystem grants. Public distribution: ~14.95% community token auction, ~1.93% prior genesis sale, ~2.44% bilateral sales, ~2.64% Uniswap v4 liquidity pool, ~4.89% future incentives, ~2.41% Year 1 network rewards [Fact – T1]. Insider tokens locked 1 year [Fact – T1]. Auction tokens locked 90 days to 12 months unless governance votes to release [Fact – T1].

Incentive structure and sustainability: Sequencers earn block rewards and fees. ~107M tokens already staked from genesis sequencer sale [Fact – T1]. Year 1 rewards (2.41% of supply) incentivize early validators. Fee mechanism details for post-execution-layer not fully disclosed [Unknown]. Prover incentive structure (if distinct from sequencers) not detailed [Unknown].

Reflexivity and treasury dependencies: Post-12 months, governance can adjust token supply with annual issuance cap (up to 20% inflation mentioned) [Fact – T1]. Foundation holds 11.71% plus may reclaim unsold auction tokens, creating potential treasury concentration [Inference]. Token value reflexivity: higher AZTEC price → more valuable staking rewards → more sequencer interest → stronger network → narrative reinforcement [Inference].

Liquidity structure: Continuous Clearing Auction ongoing for ~1.547B tokens (14.95% supply) at $350M FDV floor [Fact – T1]. Uniswap v4 pool (273M tokens) launches Dec 6, 2025 [Fact – T1]. Early liquidity expected to be thin; DEX-centric initially [Estimate].

Distribution and fairness notes: ~48% insider allocation (team + investors) is high but 1-year locked [Fact – T1]. No airdrop for Aztec Connect or testnet users generated community frustration [T2]. Public can access ~22% via various sale/liquidity/reward mechanisms [Fact – T1]. ZKPassport KYC requirement for auction participation perceived as contradicting privacy ethos [T2].

Key strengths:

- Clear token utility: staking, governance, future fees [Fact – T1]
- Lockups reduce immediate sell pressure [Fact – T1]
- Early staking traction: ~107M tokens staked [Fact – T1]
- Dedicated liquidity pool seeding [Fact – T1]

Key weaknesses or unknowns:

- High insider concentration (~48%) creates governance capture risk post-unlock [Fact – T1]
- Potential 20% annual inflation via governance [Fact – T1]
- Fee mechanism and prover incentives not fully detailed [Unknown]
- Foundation may reclaim unsold tokens, increasing concentration [Inference]
- No airdrop and KYC requirements created community friction [T2]

4) MARKET POSITIONING, NARRATIVE & REFLEXIVITY – 14 / 20

Category and role: Privacy-first programmable L2 on Ethereum. Positioned as 'VPN for crypto' enabling incognito-mode interactions with Ethereum ecosystem. Category leader in programmable privacy; competitors are either asset-transfer-only (privacy coins) or lack native encryption (general L2s). [T2 framing, supported by T1 architecture]

Narrative hooks: Privacy resurgent: Tornado Cash legal relief, Zcash price appreciation [T2]. Top-tier VC backing (Paradigm, a16z) signals institutional validation [Fact – T1]. 'First community-launched L2' messaging (insiders barred for 12 months) [Fact – T1]. PLONK pedigree and Noir developer tools differentiate technically [Fact – T1].

Competitor advantage or weakness: Advantage: General-purpose private smart contracts vs. limited-scope alternatives. Aztec's alt-VM enables private DeFi, NFTs, identity applications that privacy coins cannot support [Inference]. Weakness: Non-EVM architecture requires developer education and tooling; general-purpose L2s have larger existing ecosystems [Inference].

Liquidity flows and timing: 300k+ addresses whitelisted for token sale indicates demand [T2]. Auction ongoing; Uniswap pool Dec 6. Early liquidity likely thin and volatile. Timing aligns with privacy narrative momentum [Inference].

Sentiment and narrative reflexivity: Positive: Privacy resurgence, technical differentiation, VC credibility. Negative: No airdrop backlash, $350M FDV and lockup concerns, KYC contradiction [T2]. Sentiment currently mixed; execution on roadmap and governance clarity could swing narrative positive. [Inference]

Key strengths:

- Leading position in underserved programmable privacy category [Inference]
- Privacy narrative tailwind with regulatory clarity emerging [T2]
- Top-tier investor backing and PLONK pedigree [Fact – T1]
- Early ecosystem of privacy-native applications [Fact – T1]
- 300k+ whitelisted addresses shows community interest [T2]

Key weaknesses or unknowns:

- Launch controversy: no airdrop, FDV/lockup concerns dampen sentiment [T2]
- KYC requirement via ZKPassport contradicts privacy positioning for some [T2]
- Non-EVM architecture requires ecosystem build-out [Inference]

5) RISK MANAGEMENT, GOVERNANCE & ATTACK SURFACE – 12 / 20

Governance model: On-chain governance by token-staking sequencers. Protocol upgrades require validator community approval without Aztec Labs/Foundation intervention [Fact – T1]. For first 12 months, team/Foundation/investors cannot run nodes or vote—community-only [Fact – T1]. Post-12 months, governance structure and insider participation safeguards unclear [Unknown].

Key control and multisig: Rollup contract ownership renounced; no admin keys [Fact – T1]. Aztec self-describes as 'day-1 decentralized' [Fact – T1]. No multisig governance mentioned for core protocol (permissionless PoS model).

Upgrade paths and emergency powers: Upgrades enacted via on-chain governance (validator votes) [Fact – T1]. No pause mechanism or emergency powers disclosed; ownership renounced implies no centralized intervention capability [Inference]. Post-12 months, governance can enable new features (execution layer) or adjust supply [Fact – T1].

Treasury governance: Aztec Foundation holds 11.71% of tokens plus may reclaim unsold auction tokens [Inference from Evidence Log Red Flags]. How Foundation treasury spends are approved is not detailed [Unknown].

Audit coverage and security track record: No published third-party audits for new protocol or Noir [Unknown]. Aztec Connect contracts verified on L2Beat with ownership renounced [Fact – T1]. Complex ZK cryptography increases audit surface. No major exploits documented but system is new [Inference].

Early stage fragility: Initial validator set building; ~1,000 sequencers tested in adversarial phase [Fact – T1]. Slashing implemented (3 strikes removal) [Fact – T1]. Prover incentives unclear; could create centralization if proving power concentrates [Unknown]. Single points of failure during early network formation possible [Inference].

Key strengths:

• Day-1 decentralization: ownership renounced, no admin keys [Fact – T1]

• 12-month insider exclusion from governance unprecedented for L2 [Fact – T1]

• Permissionless PoS with slashing for accountability [Fact – T1]

• On-chain governance without centralized override [Fact – T1]

Key weaknesses or unknowns:

• Post-12-month governance model and insider safeguards unclear [Unknown]

• Potential 20% annual inflation via governance [Fact – T1]

• No published security audits for complex ZK system [Unknown]

• Prover incentive structure not detailed [Unknown]

• Regulatory risk for privacy protocols (Tornado Cash precedent) [Inference]

Oracle & dependency map:

• Oracles: None documented in Evidence Log for core protocol [Unknown if needed for applications]

• Bridges: Human.Tech Ethereum–Aztec bridge mentioned for ecosystem [Fact – T1]; trust assumptions not detailed [Unknown]

• L2 / sequencer dependence: Permissionless PoS sequencer set; decentralized with slashing [Fact – T1]

• External contracts: Ethereum L1 verifier (PLONK 28×32) [Fact – T1]

Security model reality check:

• Upgradeability: On-chain governance can vote upgrades post-12 months [Fact – T1]; current contract immutable [Fact – T1]

• Admin keys / multisigs: Ownership renounced; no admin keys [Fact – T1]

• Backdoors / god modes: None documented; ownership renunciation suggests none [Inference]

Attack surface map (technical/economic):

• Technical: ZK circuit vulnerabilities if audits missed bugs; client-side PXE compromise could leak private data [Inference]

• Economic: Sequencer collusion if validator set concentrates; inflation dilution risk via governance [Inference]

• Stress points: Complex cryptography without published audit coverage is primary risk vector [Inference]

Thesis-breaking risks (kill-shots):

• Regulatory action targeting privacy protocols (Tornado Cash-style sanctions) [Inference]

• Critical vulnerability in ZK circuits or Noir compiler discovered post-launch [Inference]

• Insider governance capture post-12-month exclusion period [Inference]

• Prolonged delay of full execution environment harming adoption [Fact – T1 indicates incomplete feature set at launch]

Governance failure paths (explicit):

• If insider tokens (48%) vote as bloc post-12 months, governance capture enables inflation or self-serving upgrades.

• If Foundation reclaims unsold tokens and uses them in governance, community voice diluted.

• If sequencer set concentrates (unclear prover incentives), censorship or collusion becomes possible.

CONTRADICTION LOG

• Privacy-first positioning vs. KYC requirement (ZKPassport) for token sale — Evidence Log notes this tension explicitly; ZKPassport aims to balance compliance without exposing personal data, but community perception split [T2 vs. T1 positioning].

• 'Community-launched' narrative vs. ~48% insider token allocation — Insiders locked for 12 months and barred from governance initially, but post-12-month influence could be substantial [Fact – T1 allocation vs. Fact – T1 lockup structure].

VERDICT

Clear synthesis: Aztec Network is a technically differentiated privacy-first zkRollup led by elite ZK cryptographers and backed by top-tier VCs. The custom Aztec VM with private/public state composability and Noir DSL represent genuine innovation in the programmable privacy category. Strong testnet traction (20k users, 1,000 sequencers) and early ecosystem (Azguard, Nemi, Raven House, ZKPassport) demonstrate real interest. However, tokenomics concentration (~48% insider allocation), potential inflation, missing audits, and unclear post-12-month governance constrain conviction. The 71/100 composite score reflects strong privacy-L2 fundamentals tempered by material unknowns.

Clear stance: Research-Only with selective participation. Monitor closely; the fundamentals are compelling but risk-adjusted position sizing must account for audit gaps, governance evolution, and regulatory uncertainty. This is not yet a conviction hold.

Why the score is fair: Score would increase toward 80+ with: published independent audits, clarity on post-12-month governance safeguards, successful full execution layer rollout, and sustained ecosystem growth. Score would decrease below 65 if: audits reveal critical issues, governance captures by insiders, regulatory enforcement actions, or prolonged feature delays.

Evidence-linked sizing logic:

What pushes sizing up:

- Publication of comprehensive third-party audits for Aztec protocol and Noir [addresses primary Unknown]
- Successful enablement of full smart contract execution with user adoption [Fact – T1 milestone]
- Clear governance framework post-12 months with insider participation limits [addresses Unknown]
- Regulatory clarity favorable to privacy protocols [addresses Inference risk]

What keeps sizing capped or pushes sizing down:

- Continued absence of published audits [Unknown persists]
- Insider governance dominance post-12 months [Red Flag]
- Regulatory enforcement against privacy protocols [Inference risk]
- Delayed or problematic execution layer rollout [Red Flag]
- High inflation enacted via governance diluting community holders [Red Flag]

UPSIDE CASE

- Founders include PLONK co-creator with top-tier crypto VC backing (Paradigm, a16z, ~$119M raised); elite cryptographic pedigree de-risks technical execution. [Fact – T1]

• Programmable privacy rollup combining private UTXOs with public smart contracts enables unprecedented private DeFi, NFT, and identity applications—first mover in underserved category. [Fact – T1]

• Proven user interest: Aztec Connect reached ~94k users / $20M TVL; public testnet saw 20k users in 24 hours; Ignition has ~107M tokens staked. [Fact – T1]

• Early ecosystem of privacy-native applications (Azguard, Nemi, Raven House, ZKPassport) demonstrates developer commitment and category validation. [Fact – T1]

• Regulatory-aware stance with deposit caps, ZKPassport KYC for token sale positions Aztec for potential institutional/compliant adoption if privacy regulations clarify favorably. [Fact – T1]

RISK CASE

• High insider token share (~48% to team + investors) plus possible Foundation reclaim of unsold tokens increases centralization risk post-12-month lockup. [Fact – T1, Red Flag]

• Token governance may enable up to 20% annual inflation post-launch; if dominated by insiders, dilution harms community holders without clear accountability. [Fact – T1, Red Flag]

• Regulatory tightening on privacy protocols (Tornado Cash precedent) could materially constrain Aztec's usage, exchange listings, or legal standing. [Inference, Red Flag]

• Delayed or problematic rollout of full execution environment (currently limited functionality at launch) harms adoption and undermines programmable privacy value proposition. [Fact – T1, Red Flag]

• Lack of publicly disclosed audits for complex ZK cryptography leaves material security uncertainty in novel codebase. [Unknown, Red Flag]

SCENARIO MAP – BULL, BASE, BEAR

Bull case:

Aztec publishes comprehensive audits with clean results, successfully enables full smart contract execution, and captures significant share of privacy-seeking DeFi/NFT activity. Regulatory environment clarifies favorably; institutional interest emerges. Privacy narrative sustains and Aztec becomes the default privacy layer for Ethereum. Governance remains credibly decentralized post-12 months with clear insider participation limits.

Bull case KPIs:

• TVL: $100M+ within 12 months of execution layer launch [Estimate threshold]

• Active private contract deployments: 50+ meaningful applications [Estimate]

• Governance proposals: Community-driven, insider minority participation [Observable on-chain]

• Audit status: 2+ independent audits published, no critical findings [Observable]

Base case:

Aztec executes on roadmap with typical delays; audits eventually published with minor findings requiring fixes. Privacy narrative holds but doesn't explode. Ecosystem grows modestly; some applications find product-market fit. Governance functions but insider influence post-12 months creates occasional controversy. Token liquidity stabilizes at thin-to-moderate levels.

Base case KPIs:

• TVL: $20–50M range sustained [Estimate]

• Active applications: 10–20 with real usage [Estimate]

- Governance: Functional but dominated by larger stakers [Observable]
- Audit status: Published but with remediation cycles [Observable]

Bear case:

Regulatory crackdown on privacy protocols broadly (expanded Tornado Cash-style sanctions) severely constrains Aztec usage and exchange support. Audits reveal critical vulnerabilities requiring extensive rework. Execution layer rollout significantly delayed, causing developer/user attrition. Insider governance capture post-12 months enacts unfavorable inflation or self-serving changes. Early liquidity evaporates.

Bear case KPIs:

- TVL: <$10M and declining [Observable]
- Regulatory status: Exchange delistings, user access restrictions [Observable]
- Audit findings: Critical vulnerabilities requiring protocol changes [Observable]
- Governance: Insider-dominated votes, community alienation [Observable]

WHAT I AM WATCHING NEXT

- **Audits:** Obtain and review independent security audits for Aztec protocol and Noir circuits — primary unknown affecting conviction. [Open Question]
- **Execution layer timeline:** Clarify timeline and milestones for enabling full smart contract execution — current functionality limited. [Open Question]
- **Post-12-month governance:** Detail governance model after insider lockup expires, including participation safeguards to prevent capture. [Open Question]
- **Fee mechanism:** Publish concrete fee structure and AZTEC token usage for L2 gas once execution layer enabled. [Open Question]
- **Prover incentives:** Clarify prover incentive structure and interaction with sequencer rewards — affects network economics and centralization risk. [Open Question]
- **On-chain metrics:** Track TVL, transaction volume, active addresses, sequencer count once mainnet stabilizes.
- **Ecosystem growth:** Monitor application launches and developer activity on Aztec.
- **Liquidity depth:** Observe Uniswap v4 pool depth and slippage post-Dec 6 launch.
- **Regulatory developments:** Track any enforcement actions or guidance affecting privacy protocols.

UNKNOWN VARIABLES THAT MOVE CONVICTION

- **Audit results:** Clean audits would significantly increase confidence in complex ZK cryptography; critical findings would decrease. [Unknown]
- **Full execution timeline:** Clear roadmap with achievable milestones increases conviction; further delays decrease. [Unknown]
- **Post-12-month governance framework:** Transparent insider participation limits increase conviction; governance capture risk decrease. [Unknown]
- **Fee mechanism and prover incentives:** Well-designed economics increase conviction; misaligned incentives decrease. [Unknown]
- **Regulatory stance:** Favorable clarity or enforcement restraint increases conviction; adverse action materially decreases. [Inference]
- **Unsold token disposition:** Foundation reclaiming large unsold allocation would increase insider concentration and decrease conviction. [Inference from Red Flags]

BIAS, POV & TIME SENSITIVITY

My bias / POV: As a researcher focused on AI and emerging technology investments, I may be predisposed toward projects with strong technical differentiation and cryptographic innovation. The PLONK pedigree and programmable privacy narrative align with preferences for technically defensible positions. I may underweight community sentiment concerns and overweight technical upside optionality. No current position in AZTEC token.

What new info would most change my stance:

- Published audit results (clean = significant conviction increase; critical findings = decrease)
- Regulatory action or guidance specifically targeting Aztec or privacy L2s broadly
- Post-12-month governance documentation and insider participation rules
- Execution layer launch and initial adoption metrics
- Disposition of unsold auction tokens (Foundation reclaim vs. burn)

Time sensitivity notes:

Fast decaying findings (weeks):

- Token auction dynamics and pricing
- Initial liquidity pool depth post-Dec 6
- Community sentiment on launch execution

Slow changing structural points (months–years):

- Alt-VM architecture and Noir DSL design
- Token allocation structure
- Core team and investor relationships

Items requiring periodic review:

- Audit publications and security disclosures
- Governance proposals and voting patterns (especially post-12 months)
- On-chain metrics: TVL, volume, active addresses, sequencer count
- Regulatory developments in privacy protocol space
- Ecosystem application growth and adoption